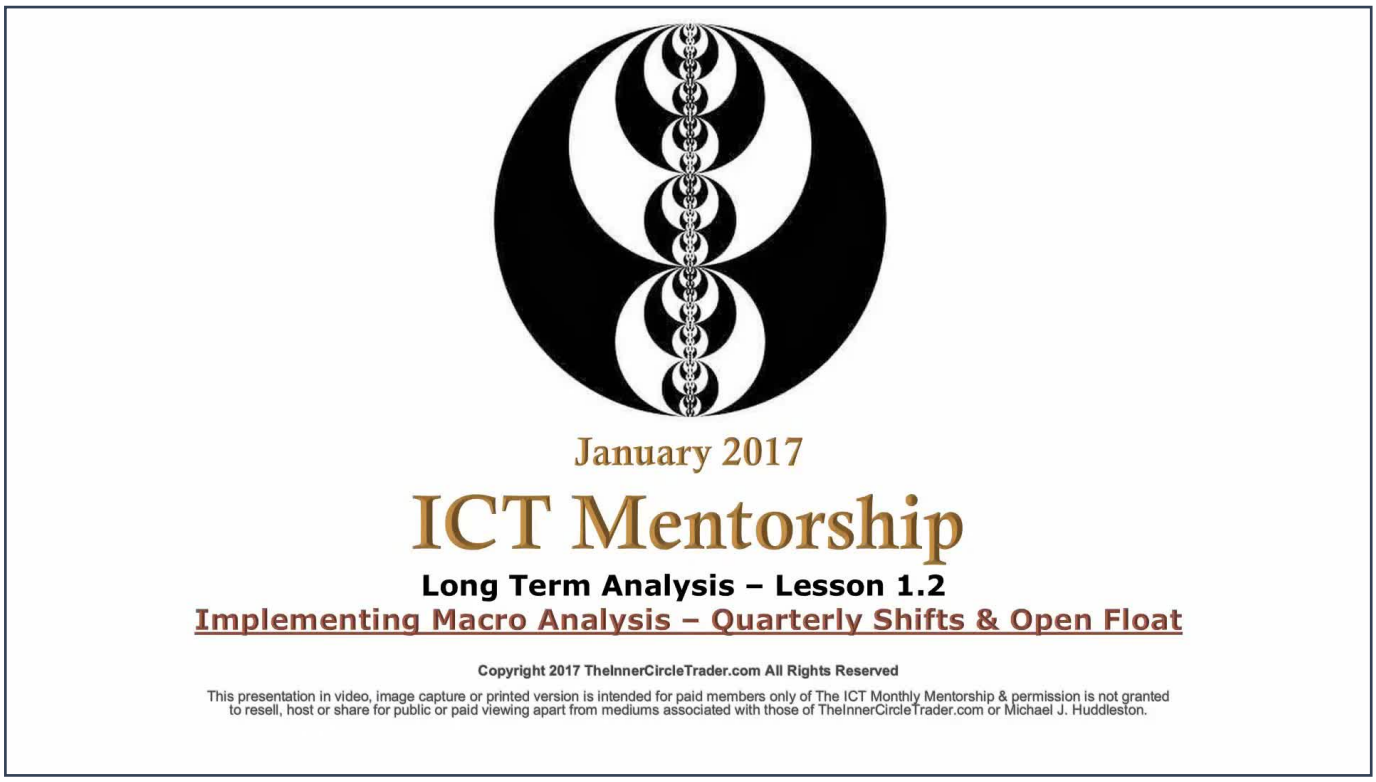
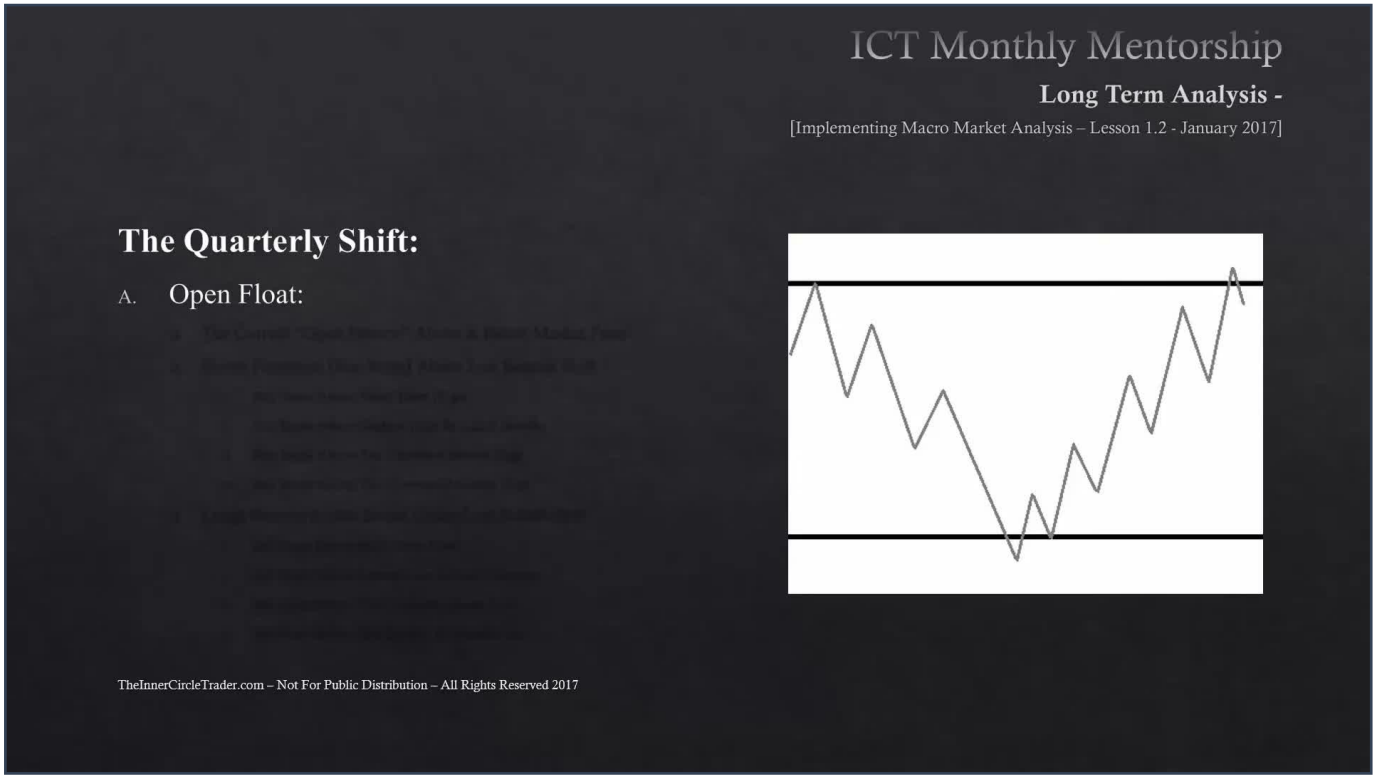
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - OPEN FLOAT



Lesson 1.2 of the long-term analysis covers implementing macro analysis, quarterly shifts, and open float. This teaching will specifically focus on open float and its role within the quarterly shift framework.



The open float is the current open interest resting above and below the current market price. This open interest manifests in several forms:

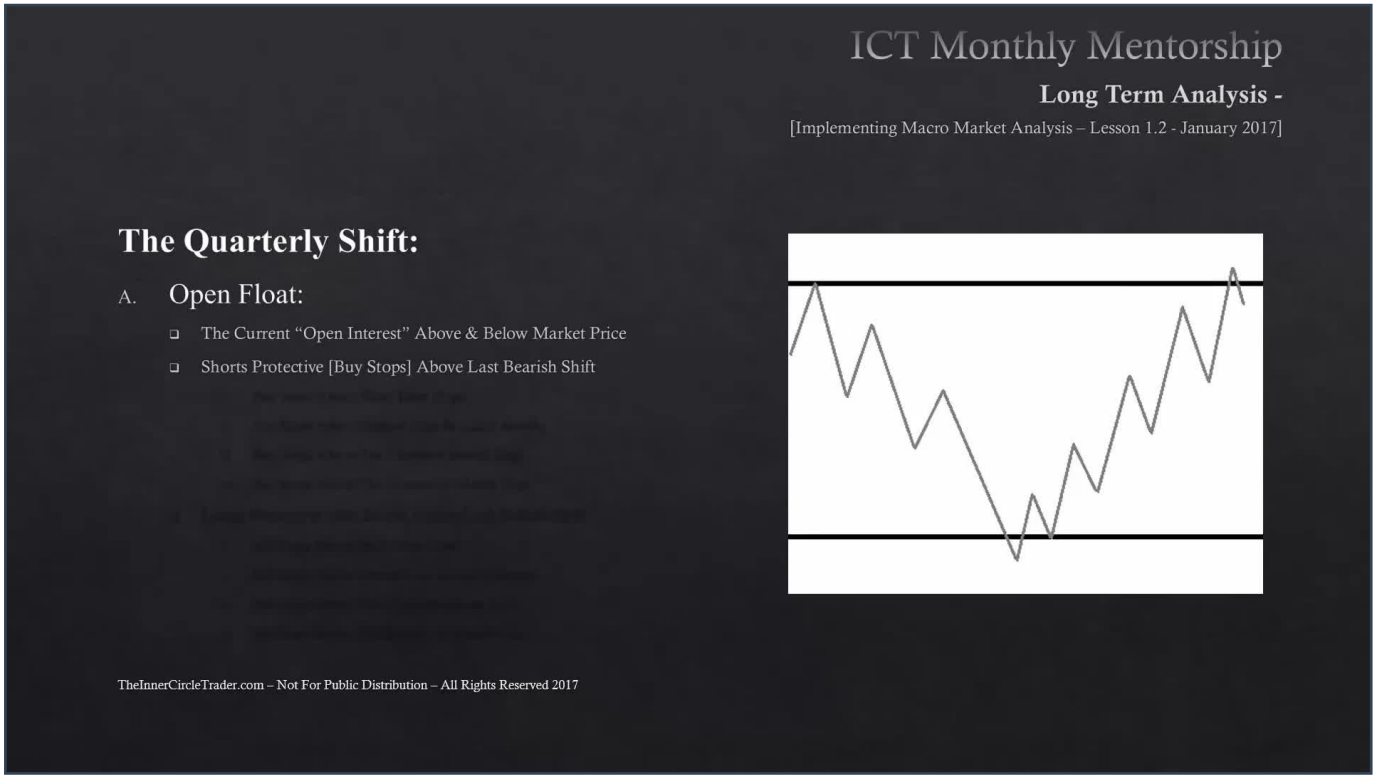
- Pending buy orders, also known as buy stops, which are resting above old highs or simply above the current market price.

- Pending sell orders, referred to as sell stops, positioned below the market price or below significant lows.

- Sell stops serve as entry orders or are used for collapsing long positions.

- Buy stops facilitate getting long or protecting short positions.

All these collective orders contribute to the open float, representing the total open interest of market participants currently in the market or those hoping to enter based on future price movements relative to these standing orders.



Open float is utilized to identify buy side liquidity. This liquidity comprises:

- Protective buy stops placed by shorts above the last bearish shift.

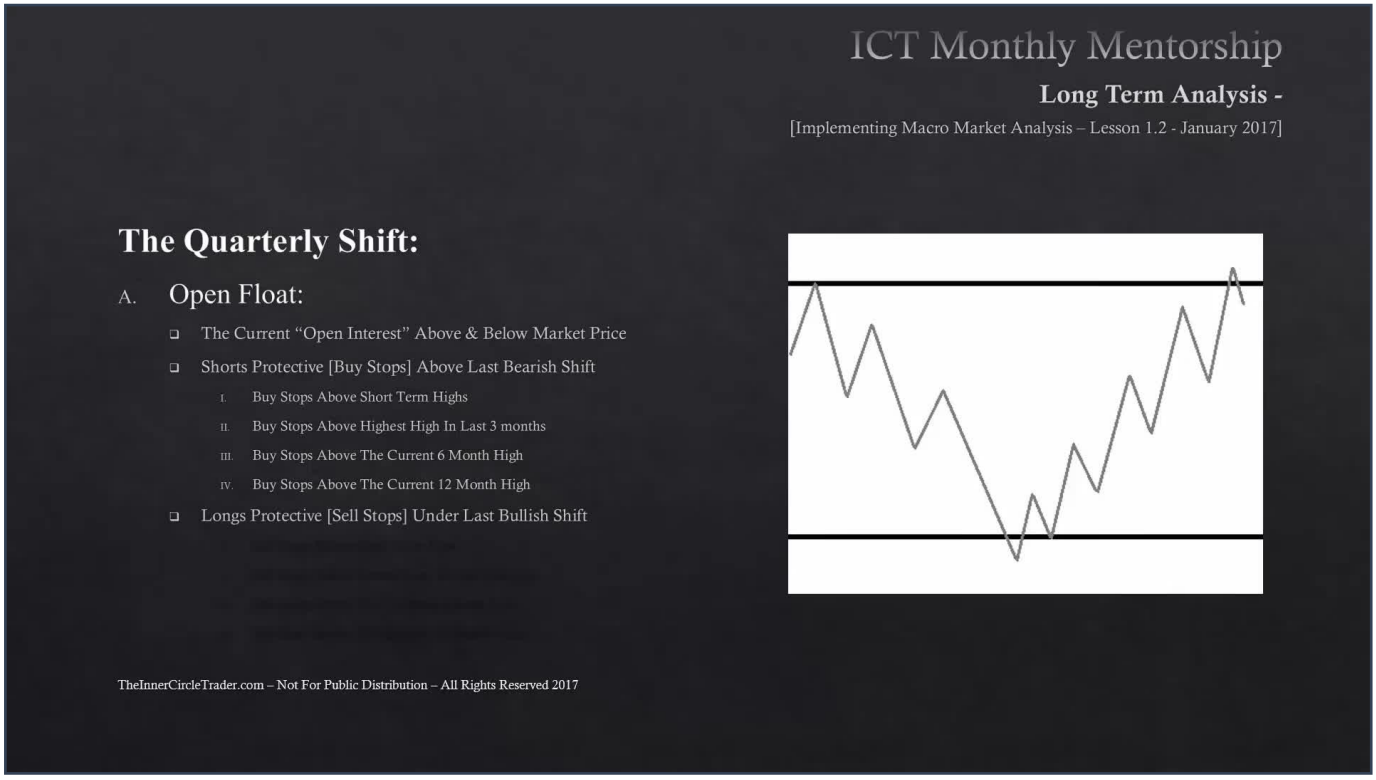
- Buy stops situated above short-term highs, such as weekly or monthly highs.

- Buy stops resting above the highest high recorded in the last three months.

- Buy stops above the current six-month high.

- Buy stops above the current 12-month high.

It's important to note that the market can approach 12-month or 6-month highs/lows relatively quickly. The primary focus for understanding quarterly shifts is the buy stops above the highest high in the last three months, as this represents a highly significant price level. These buy stops are most likely targeted if a bullish market structure shift occurs. Any run on buy stops above a short-term high (monthly or weekly) also indicates strong short-term volatility.



When examining the sell side of liquidity, the open float includes:

- Protective sell stops placed by longs under the last bullish shift.

- Sell stops positioned below short-term lows, which can be weekly or monthly lows.

- Sell stops below the lowest low recorded in the last three months.

- Sell stops below the current six-month low.

- Sell stops below the current 12-month low.

A frequent question arises regarding how to discern if the market will stop just above an old high or below an old low and then reverse, or if it will continue its movement. The aim is to provide insights into what gives conviction for these outcomes:

- Believing that price will only briefly punch above an old high without significant continuation, leading to a retrace and potentially a shorting opportunity.

- Conversely, identifying the signs for buying after an old low has been violated.

CHART ANALYSIS - QUARTERLY SHIFTS AND LIQUIDITY RUNS (VISUAL FOCUS)

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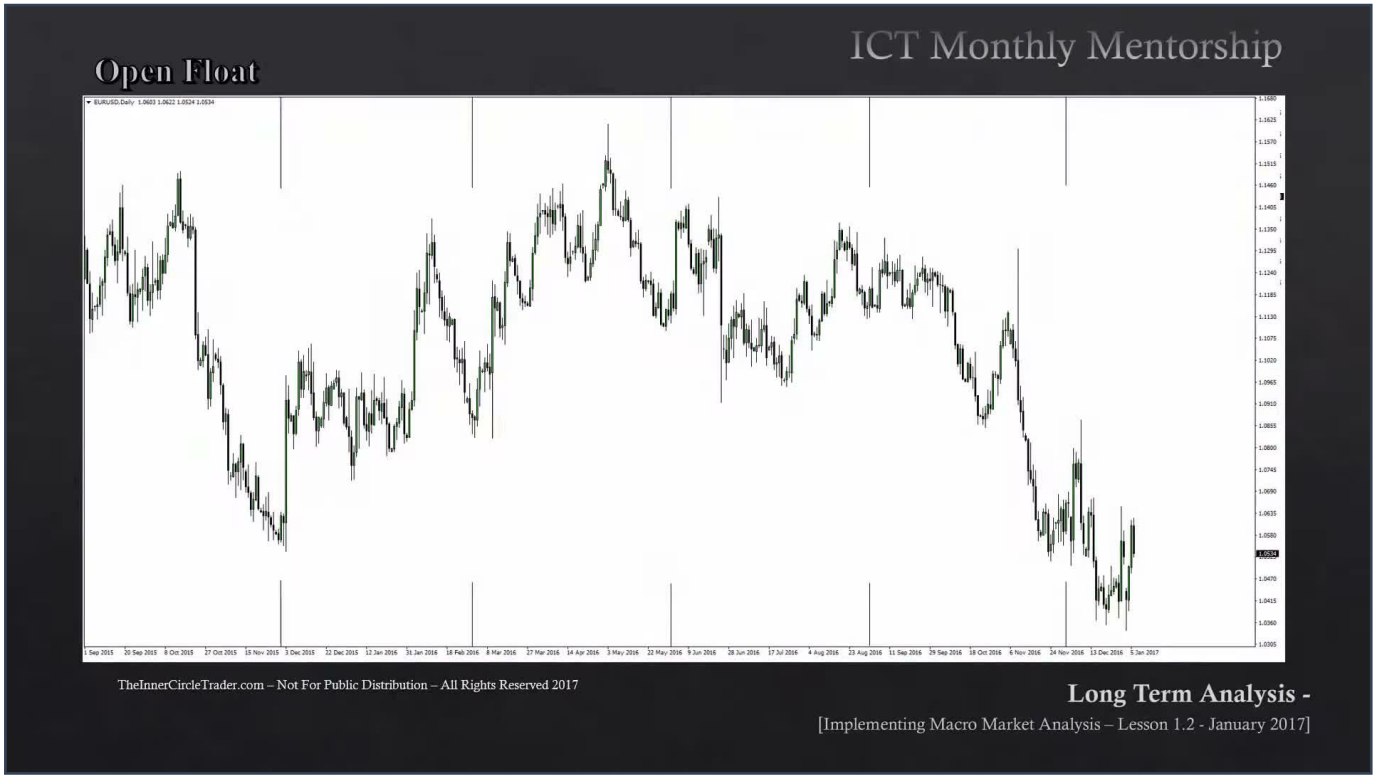
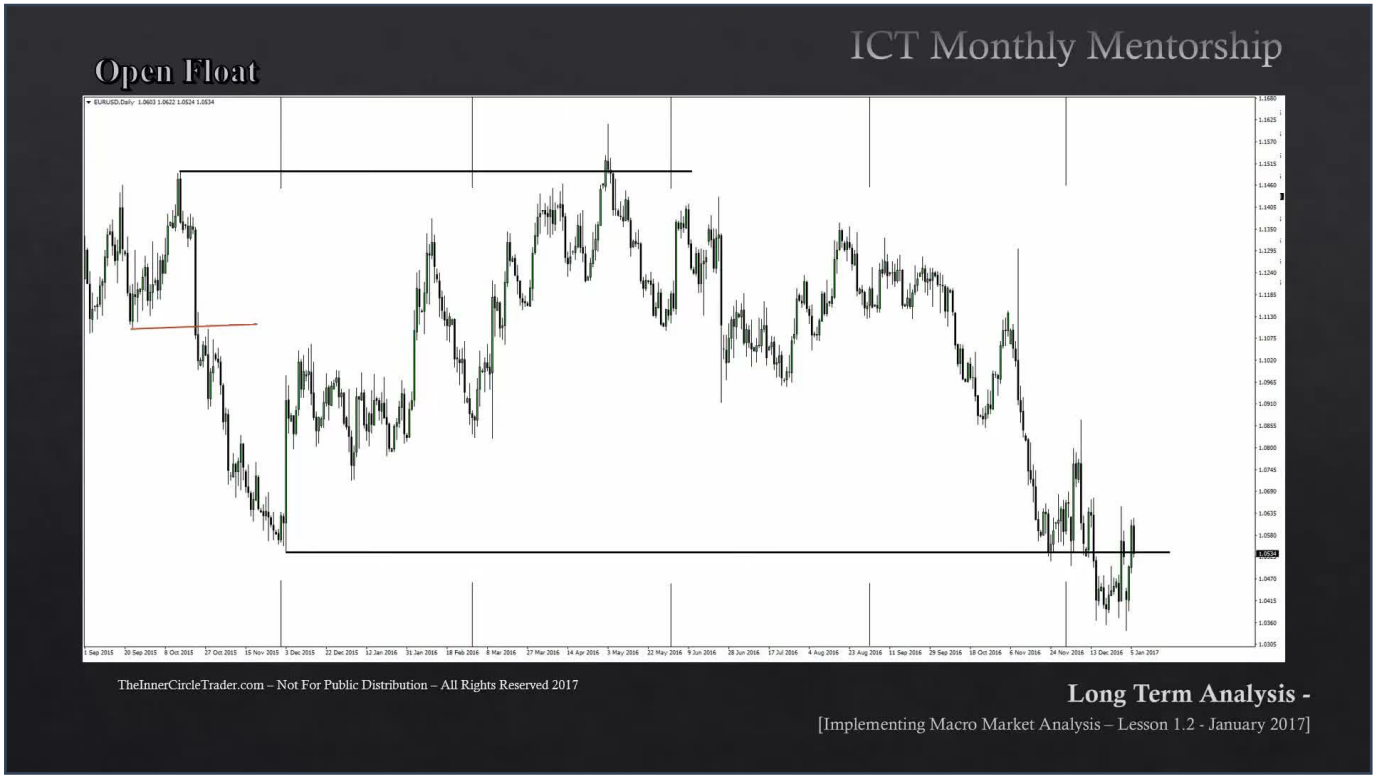


The presented chart illustrates the quarterly shifts, showing three-month intervals. Most vertical lines are removed, with segments used to delineate reference points relative to the current date. It's crucial to observe and study significant price highs and lows. The chart displays two notable runs: one above an old high and another below an old low.

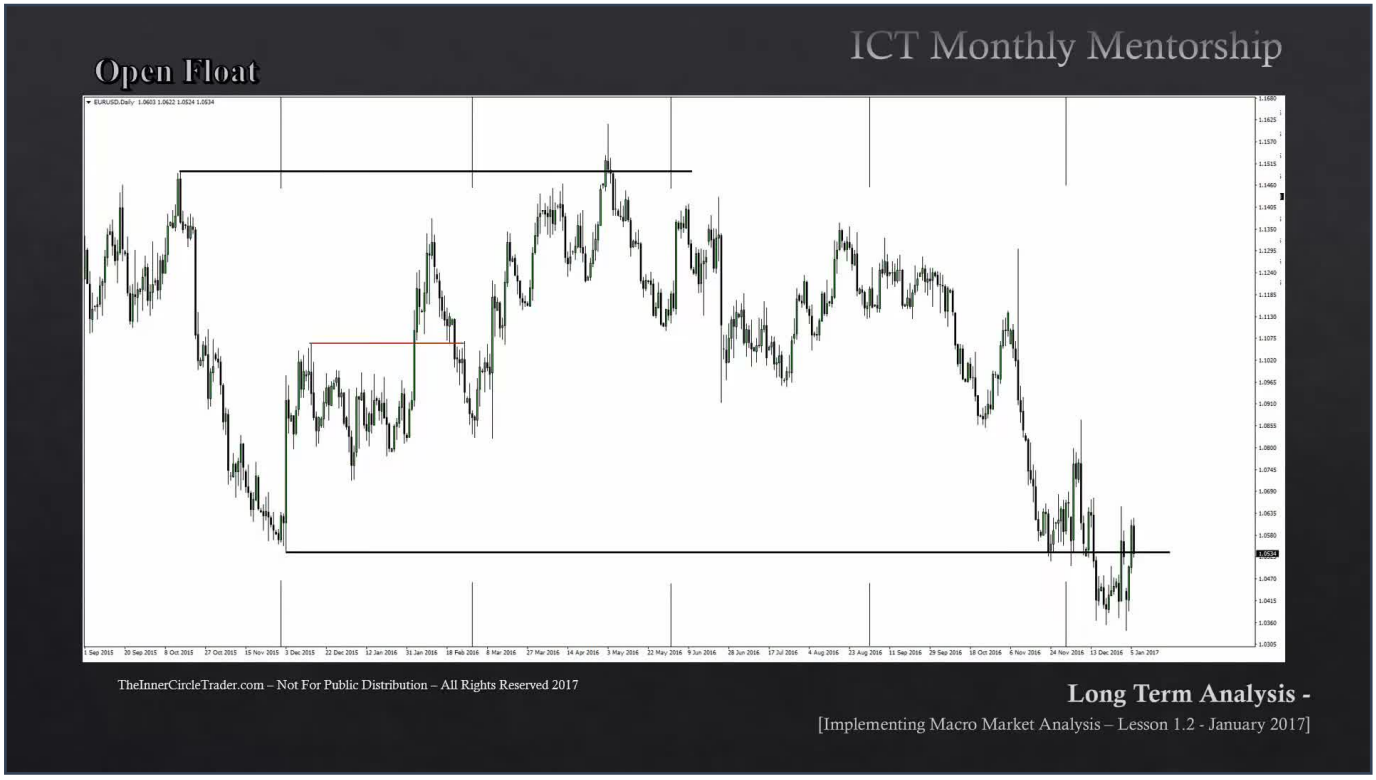


Observe a short-term low on the chart. When price trades below this low, it signifies a break in market structure, a market shift. Following this shift, the market continued trading lower to a level around 105.30. When a bearish shift occurs, attention should immediately turn to the high from which the price descended. On a daily chart, this high represents a significant liquidity pool of buy stops.

This liquidity pool primarily targets the buy stops of large funds, which are typically long-term trend following traders, rather than retail traders. These reference points on the daily timeframe are crucial for understanding how open float significantly impacts future price movements.

After establishing a low at 1.0534, the market initiates another market structure shift, pushing price higher. It's important to pay attention to the quarterly shift markers, as they often coincide with significant runs on liquidity every three months. The move upward from the 1.0534 level involves a break in market structure, followed by a subsequent retracement back to a short-term high, after which price rallies further. This rally fills in a liquidity void observed from October, retraces again into the 1.0860 level, and then rallies once more, ultimately making a run for the buy stops above the 1.15 big figure.

This bullish market structure break acts as the catalyst, propelling the market higher to target the stops residing above the 1.15 big figure. Below the prior low, there is a large liquidity pool of sell stops on the daily timeframe, primarily for large funds. Price eventually sweeps down to grab this sell-side liquidity, neutralizing all those sell stops.



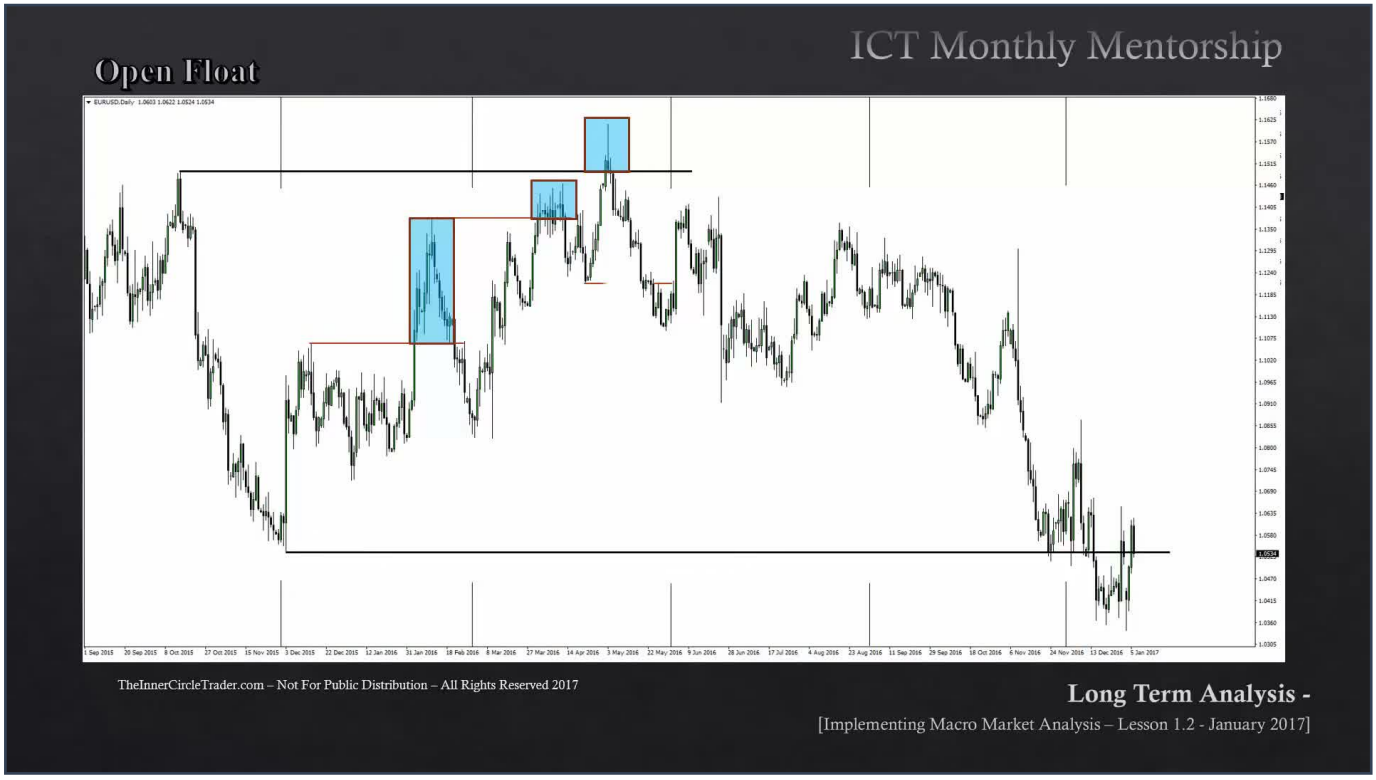
Understanding open float helps clarify why the market is expected to reach a certain level, then retrace or reverse. It also helps in anticipating which side of the market will be predominantly controlled, preventing continuation after a move breaches an old high or low.

- A short-term high is identified before the market retraces down to the 107.50s. The buy stops resting above that high are targeted, and the market runs right through them, also filling a liquidity void from October.

- The market then retraces deeper, creating a new short-term high during the rally that took out the initial buy stops. This subsequent short-term high is also eventually overrun, triggering buy stops resting above it.

- These buy stops primarily belong to those who want to sell short. Funds often initiate positions early and can be stopped out. This phenomenon of stop runs, clearing larger order sizes, is frequently observed.

- Ultimately, the market targets and clears out the buy stops above the 1.15 big figure, which was the previous October high.



To determine the market's direction, consider the following:

- While the market was trading up from the low at 1.0534 to the 1.15 big figure, there was no significant movement that targeted sell stops. The price was actively driven upwards to clear the buy-side liquidity at 1.15.

- Once the buy-side liquidity (buy stop raid) at 1.15 big figure was taken out, the market broke down, violating a short-term low. This short-term low had trailing sell stops resting below it, which were then violated and canceled, thus knocking out any long positions.

- This run on sell stops below the low is the first crucial clue that the market is likely to target the sell side of the liquidity.

- When a short-term high is briefly violated, assess if it creates new higher ground. If it fails to challenge the previous significant high and is met with a strong rejection, it signals weakness.

- Conversely, if the market consistently creates new lower lows by violating short-term lows, while struggling to make new highs, it indicates a drive towards sell-side liquidity.

At the equilibrium point (midway) between a major low (1.0534) and high (1.15 big figure), if the market cannot create a higher high relative to the 1.15 big figure after taking buy-side liquidity, it's unlikely to continue higher. The market shows indications that it cannot create new ground on the upside once the buy-stop liquidity is taken.

- Instead, it consistently creates new lower ground every time a short-term low is violated. Each drop gathers more momentum and increases the distance between the current price and the 1.15 big figure high.

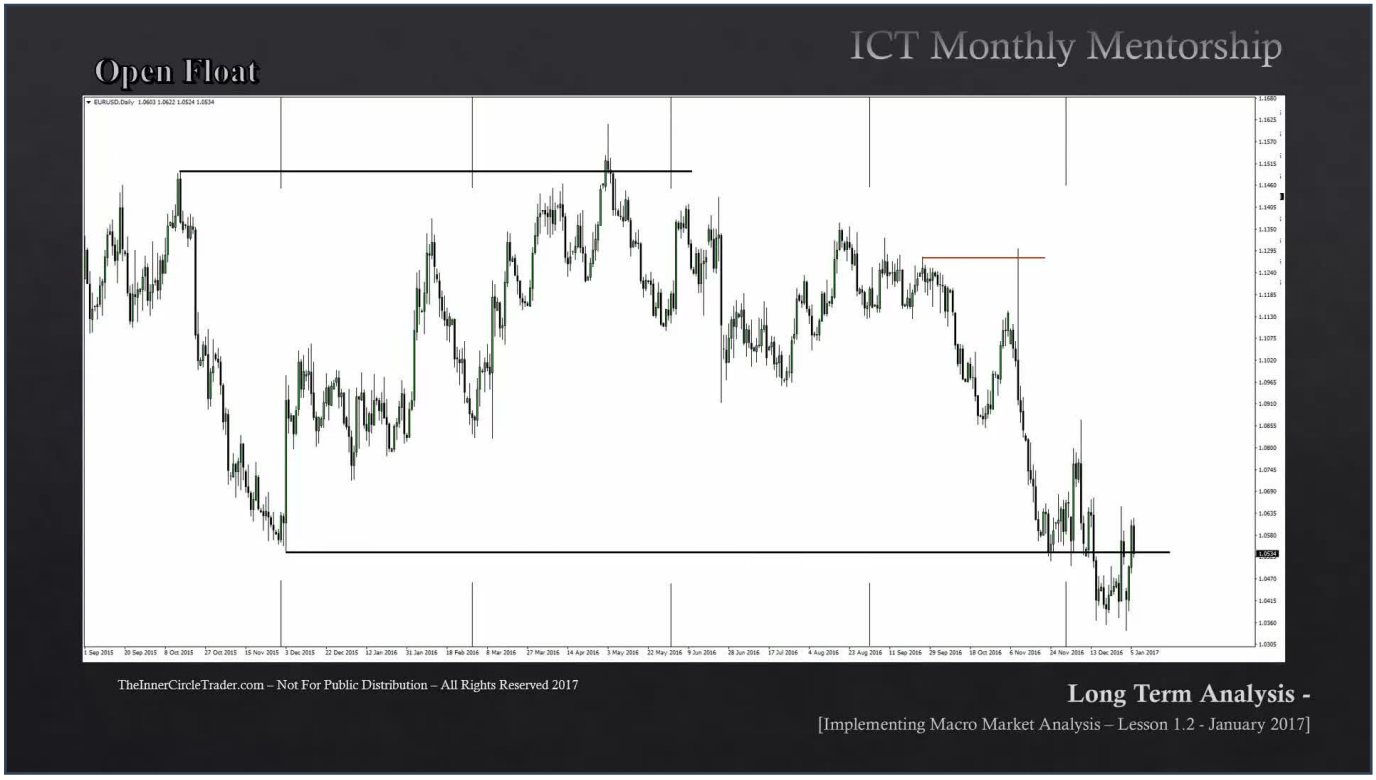
- Every rally fails to make a new high, even if it briefly takes out a short-term high; it does not gain further ground on the upside.

- Every rally is being distributed. Even when rallies breach an old high, they are quickly rejected and trade lower.

- This pattern of moving below every short-term low and gaining more ground on the downside is the key indication to look for on the daily chart. It signals a desire to gain momentum on the sell side of the market.

- By referencing buy stops at highs and sell stops at lows, and observing the 'tug of war,' if intermediate-term highs continually form lower intermediate-term highs, and intermediate/short-term lows consistently move lower, it tells you the market wants the open float below the marketplace—it wants to seek sell-side liquidity, drawing prices lower.

- This analysis provides a daily chart directional bias, which is invaluable across all trading disciplines: day trading, scalping, short-term trading, or swing trading. It answers the question of whether the market will run buy stops or sell stops.



Considering the daily chart timeframe, if it indicates a preference to move lower—demonstrating ease in breaking below short-term lows—but every rally fails to make new ground or a higher high, the bearish bias is confirmed.

- When a rally does manage to create a higher high, it is immediately punished, and such a high is typically just above an insignificant short-term high.

- Each instance of this behavior solidifies an intermediate-term high that is lower than the previous one.

- An intermediate-term high is defined by having a short-term high to its left and right, akin to a head and shoulders top formation.

- Conversely, an intermediate-term low would have a short-term low to its left and right, similar to an inverse head and shoulders pattern.

- When you observe a lower intermediate-term high (with a lower intermediate-term high to its left and right), this actually represents a long-term high in the middle.

- This market structure, influenced by studies of Larry Williams, reveals that multiple intermediate and long-term highs signal the market's intention to move lower, as seen throughout the entire sample data.

In the example, a liquidity void was observed around the 106.80 level down to 106.35. The market filled this void, then traded all the way down to the short-term low at 105.34, bounced briefly, and ultimately, after breaking the 1.07 big figure low, reached down to take out sell-side liquidity.

- Studying daily charts, though time-consuming, provides a plethora of trading examples where liquidity was run on one side, and the market was drawn for three to six months.

- For instance, observe the move from the December 2015 low to the high made in May 2016 (approximately six months). Following this, the move from that high in spring 2016 traded down to a low made in December 2016 (approximately six months).

- These examples highlight the effects of quarterly shifts and the implementation of open float. Open float is the study of how the market seeks out buy and sell orders above and below the current market price.

- Knowing where orders are building and stacking above old highs and below old lows provides the framework to map out which side of the marketplace market makers and smart money are targeting. Successfully determining this on a daily chart will provide:

- Trend

- Daily bias

- Long-term bias

- Prognostication for developing smart money perspectives and an institutional vantage point for all your trades.